

Pattern 2 CUP & HANDLE

The 'Cup & Handle' chart pattern works pretty much in the same manner as the head and shoulders, however, the formation is different. We see that there is a large curve in the closing price which meets resistance at a particular point, which is then followed by a smaller curve that again meets the resistance level. These two curves form the cup and then its handle respectively.

Once a cup and handle are formed, the closing price is near the resistance line. Here, the closing price can be reverted if the bears can resist the advance of the asset price. However, it can also continue and form a breakout, in case the bulls can overpower the bears' resistance. When this happens, we can see this as a long signal. Cup and handle are one of the most popular chart patterns. Cup and handle can be of different kinds as well.

